EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Rizal is Cagayan's epic town, where Cagayan's epic heroes and legendary figures Biuag and Malana were said to have fought their battle for supremacy over the hand of a beautiful "Maguinganay" (lady) by swapping volleys of uprooted trees and live cattle.

The Municipality is envisioned to be a model for academic excellence, public health and safety, environmental preservation and good governance, providing equal opportunity for all its constituents in a peaceful, friendly atmosphere through a God-centered leadership of the incumbent elected officials.

For CY 2019, the Municipality of Rizal had a total of 86 personnel complement with 71 permanent, 13 elective and 2 co-terminus.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Rizal, Cagayan for CY 2019 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2019 with comparative figures for CY 2018, are as follows:

	2019	2018	Increase/Decrease
Financial Position			
Total Assets	129,034,435.05	111,578,291.83	17,456,143.22
Total Liabilities	35,716,248.26	32,096,560.93	3,619,687.33
Total Government Equity	93,318,186.79	79,481,730.90	13,836,455.89
Financial Performance			
Total Revenue	85,811,287.11	80,326,615.65	5,484,671.46
Total Expenses	74,474,304.38	70,165,079.02	4,309,225.36
Appropriations, Allotments			
Total Appropriations-Current	85,766,957.00	78,269,286.00	7,497,671.00
Total Obligations	75,119,884.72	62,817,737.06	12,302,147.66

During the CY 2019, the Municipality of Rizal received a total of P18,179,000.00 from other government agencies and made no fund transfer to any government agency, as follows:

	2019	2018	Increase/Decrease
Funds Received from:			
National Government	18,079,000.00	21,125,088.00	(3,046,088.00)
Local Government	-	-	-
GOCCs	100,000.00	-	100,000.00
Total	**18,179,000.00**	**21,125,088.00**	**(2,946,088.00)**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of the presentation of the financial statements as of December 31, 2019 of the Rizal, Cagayan due to the effects of the noted deficiencies on the balances of some accounts, as summarized in the succeeding paragraphs and as discussed in detail in part II of the report.

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations:

1. **The recorded Road Networks account amounting to ₱17,931,099.82, net of accumulated depreciation, cannot be ascertained whether this represents the entire road networks of the Municipality due to lack of proper disclosures and absence of reports, such as Registry of Public Infrastructures, Report on the Physical Count of Local Road Network, Local Road Network Ledger Cards, Local Road Inventory records, with Road Map and Local Road Network Property Cards.**

   We recommended that the Management:

   a. Conduct physical count of Local Road Networks and prepare the RPCLRN;

   b. Update the Registry of Public Infrastructures, through a detailed review of prior year's transactions in order to identify the entire Road Networks of the Municipality;

   c. Complete Local Road Inventory records with Road Map and Local Road Network Property Cards and submit the said Report prepared by the Inventory Committee as shown in Annex A of COA Circular 2015-008; and

   d. Make proper disclosures in the Notes to Financial Statements as regards all Road Networks in pursuance of COA Circular 2015-008.

2. **Unreconciled balance in the Cash in Bank account amounting to ₱440,661.41 between the general ledger and bank confirmation, as a result of the continued non-preparation of monthly Bank Reconciliation Statements affected the reliability and accuracy of the Cash in Bank – Local Currency, Savings Account (LCCA) of P36,036,208.32 cannot be ascertained.**

   We recommended that the Municipal Accountant:

   a. Prepare and submit monthly Bank Reconciliation Statements of all its depository bank accounts, take up reconciling items, and effect adjustment in the GL to ensure the correct balance of the Cash in Bank accounts; and

   b. Exert more time and effort to trace, verify and reconcile regularly the book balances of the Cash in Bank account against the bank records, including reconciliation with the cashbook maintained by the Municipal Treasurer.

3. **The Municipality did not enforce collection and/or settlement of long outstanding receivables and cash advances totalling to ₱8,800,710.35 and did not apply for write-off of its dormant accounts, contrary to COA Circular No. 97-002 dated February 10, 1997 and COA Circular No. 2016-005 dated December 19, 2016, thus depriving the Municipality of the funds for its operations and affecting the fair presentation of the particular accounts in the Financial Statements.**

   We recommended that the Management:

   a. Enforce collection and settlement of the long outstanding receivables and cash advances through issuance of demand letters;

   b. Require the Municipal Accountant to submit a sworn Certification for unliquidated cash advances, and other receivables with no available documents but are not yet considered dormant as defined under COA Circular 2016-005; and

   c. Initiate the preparation and filing of the request of authority to write-off accounts with the COA in accordance with same Circular.

4. **Physical inventory of Municipal properties and equipment was not conducted as of December 31, 2019 contrary to Section 124(2) and Section 66 of the Manual on the New Government Accounting System, Vol. I, thus, the accuracy and existence of the recorded Property, Plant and Equipment, with a carrying value of ₱70,868,985.60, could not be ascertained.**

   We recommended that the Management comply strictly with the prescribed controls over PPE as provided for in pertinent laws, rules and regulations and require the following:

a. The Inventory Team/Committee to conduct an inventory of all the properties of the Municipality and reconcile the related accounting and property records. Discrepancies and/or deficiencies, if any, should be analyzed/investigated. Likewise, submit a Report on the Physical Count of Property, Plant and Equipment to the Audit Team concerned as required under Section 66 of the Manual on the New Government Accounting System.

b. The General Services Officer to renew the Acknowledgement Receipts for Equipment every three years or every time there is a change in accountability to establish who is in actual possession or custody of all government properties in accordance with Section 56, Vol. II of the New Government Accounting System Manual.

c. The Municipal Accountant and General Services Officer to maintain Property, Plant and Equipment Ledger Cards and Property Cards, respectively, for each class of property, plant and equipment and post all transactions promptly from source documents and reconcile their records regularly in order to establish the accuracy of balance of each PPE account presented in the financial statements as of a certain date.

E. Remittance of GSIS Premium

The Municipality complied with the timely remittance of the amount of Social Insurance Fund (SIF) and Employees' Compensation Insurance Fund (ECIF) premium contributions to the Government Service Insurance System (GSIS) in accordance with R.A. 8291. The Due to GSIS account showed a balance of P331,608.97 as of December 31, 2019.

F. Compliance with tax laws

The Municipality complied with the correct withholding and timely remittance of taxes withheld in accordance with tax rules and regulations.

G. Summary of Total Suspensions, Disallowances and Charges

As of December 31, 2019, the Municipality of had unsettled suspensions totaling to P15,304,278.96. The unsettled balances pertain to previous years' issued Notices of Suspension, which were not yet settled since CY 2016. However, there were no unsettled balances or issued Notice of Disallowance and Notice of Charge for the year.

H. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 22 audit recommendations embodied in the CY 2018 Annual Audit Report, nine (9) were implemented, eight (8) were partially implemented and five (5) were not implemented.